

STATE OF NEW YORK

10503--A

IN SENATE

May 15, 2026

Introduced by Sen. BOTTCER -- read twice and ordered printed, and when printed to be committed to the Committee on Finance -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the private housing finance law, in relation to establishing the build for bucks incentive fund

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. This act shall be known and may be cited as the "build for
2 bucks act".

3 § 2. The private housing finance law is amended by adding a new arti-
4 cle 28 to read as follows:

ARTICLE 28

BUILD FOR BUCKS INCENTIVE FUND

Section 1240. Definitions.

8 1241. Establishment of fund.

9 1242. Incentive payments.

10 1243. Permitted uses of funds.

11 1244. Certification and reporting.

12 1245. Anti-displacement and anti-gaming provisions.

13 1246. Bonus for certified pro-housing communities.

14 1247. Annual report.

15 § 1240. Definitions. For the purposes of this article:

16 1. "Corporation" means the New York State Housing Trust Fund Corpo-
17 ration.

18 2. "Municipality" means any city, town, or village.

19 3. "Net new housing unit" means a dwelling unit that:

20 (a) receives a certificate of occupancy, temporary certificate of
21 occupancy, or equivalent local authorization on or after the effective
22 date of this article;

23 (b) increases the total number of lawful dwelling units within the
24 municipality; and

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

LBD15840-02-6

(c) does not merely replace a dwelling unit that was demolished, converted, or otherwise eliminated, except as otherwise provided for deeply affordable, supportive, or public housing replacement.

4. "Eligible housing unit" means a net new housing unit, including but not limited to:

(a) rental housing;

(b) homeownership housing;

(c) affordable housing;

(d) supportive housing;

(e) senior housing;

(f) accessory dwelling units;

(g) conversions from nonresidential to residential use;

(h) mixed-use development containing residential units; and

(i) public housing, Mitchell-Lama housing, or other publicly assisted housing.

§ 1241. Establishment of fund. There is hereby established the build for bucks incentive fund, to be administered by the corporation. Subject to appropriation, the fund shall provide incentive payments to municipalities based on the number of eligible net new housing units produced within such municipality.

§ 1242. Incentive payments. 1. For each eligible net new housing unit, the corporation shall provide the municipality with an incentive payment of:

(a) ten thousand dollars per net new housing unit;

(b) fifteen thousand dollars per net new affordable housing unit affordable to households earning up to eighty percent of area median income;

(c) twenty thousand dollars per net new deeply affordable, supportive, public housing, or formerly homeless housing unit; and

(d) five thousand dollars per net new accessory dwelling unit.

2. The corporation may adjust such amounts annually based on available appropriations and regional housing need.

§ 1243. Permitted uses of funds. 1. Funds awarded under this article may be used by a municipality for any lawful municipal purpose, including but not limited to:

(a) sewer, water, school, park, street, transit, and public realm infrastructure;

(b) planning, zoning, environmental review, and building department staffing;

(c) affordable housing preservation or production;

(d) code enforcement;

(e) public safety and emergency services;

(f) climate resilience and green infrastructure;

(g) property tax relief; and

(h) community facilities.

2. Funds shall not be required to be spent directly on the housing development that generated the award.

3. If eligible claims exceed available appropriations, the corporation may prorate payments, with priority given to affordable housing, supportive housing, public housing, and municipalities in regions with severe housing shortages.

§ 1244. Certification and reporting. 1. Each municipality seeking payment shall submit an annual certification to the corporation identifying:

(a) the number of eligible net new housing units produced;

(b) the type and affordability level of such units;

1 (c) the location of such units;
2 (d) the number of dwelling units demolished, converted, or eliminated
3 during the same period; and
4 (e) any local zoning or permitting actions taken to facilitate housing
5 production.

6 2. The corporation shall verify such certifications using certificates
7 of occupancy, building permit data, local assessment rolls, and any
8 other relevant state or local data.

9 § 1245. Anti-displacement and anti-gaming provisions. 1. No payment
10 shall be made for a housing unit if the corporation determines that the
11 municipality or applicant has artificially created eligibility through:

12 (a) demolition of existing occupied housing without replacement;
13 (b) conversion of rent-regulated, affordable, supportive, Mitchell-
14 Lama, public, or other protected housing into market-rate housing;
15 (c) temporary or sham dwelling unit classifications; or
16 (d) failure to comply with applicable fair housing, environmental,
17 labor, or tenant protection laws.

18 2. Where new housing replaces demolished or converted housing, incen-
19 tive payments shall be made only for the net increase in lawful dwelling
20 units, except where the replacement housing provides greater affordabil-
21 ity or deeper public benefit as determined by the corporation.

22 § 1246. Bonus for certified pro-housing communities. 1. A municipality
23 that has been designated by the state as a pro-housing community shall
24 receive a twenty-five percent bonus on all payments under this article.

25 2. A municipality that fails to submit required housing production
26 data shall be ineligible for payments until such data is submitted.

27 § 1247. Annual report. 1. The corporation shall publish an annual
28 report including:

29 (a) the payments made to each municipality;
30 (b) the number of units produced by municipality;
31 (c) the number of affordable units produced;
32 (d) the number of units demolished or lost;
33 (e) the regional distribution of awards; and
34 (f) the corporation's recommendations for improving the program.

35 2. The report shall be delivered to the governor, the temporary presi-
36 dent of the senate, the speaker of the assembly, the minority leader of
37 the senate and the minority leader of the assembly by December thirty-
38 first of each year.

39 § 3. This act shall take effect immediately and shall apply to housing
40 units receiving a certificate of occupancy on or after January first
41 next succeeding the date on which it shall have become a law.